

 STRATEGIC INTELLIGENCE REPORT

Customer Churn Analysis & Retention Strategy

An in-depth empirical diagnostic of churn indicators, subscriber behavioral profiles, and actionable strategic initiatives based on customer lifecycle data.

| Key Churn Metric & Impact

26.5%

Overall Churn Rate

High Revenue Vulnerability

Analysis of 7,043 subscriber accounts shows that 1,869 customers discontinued services, generating severe annual recurring revenue leakage. Churn is heavily concentrated within specific contract and service segments.

1,869

CHURNED ACCOUNTS

\$74.44

AVG CHURNED MONTHLY FEE

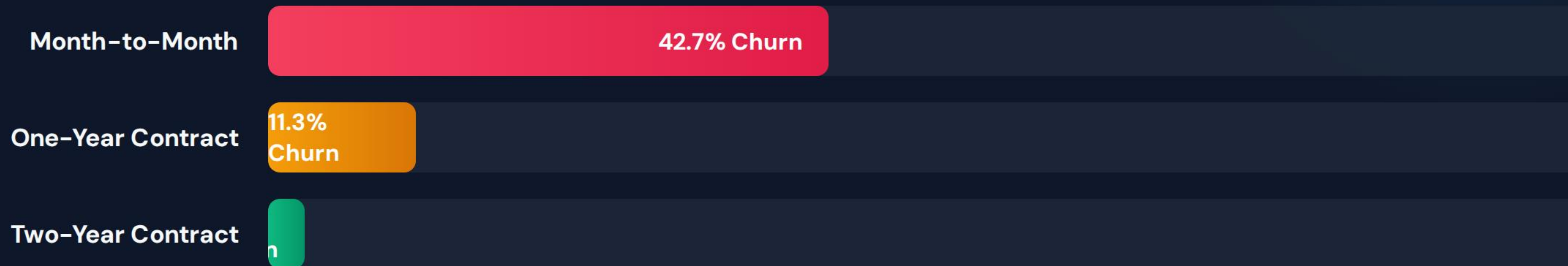
5,174

RETAINED ACCOUNTS

\$61.26

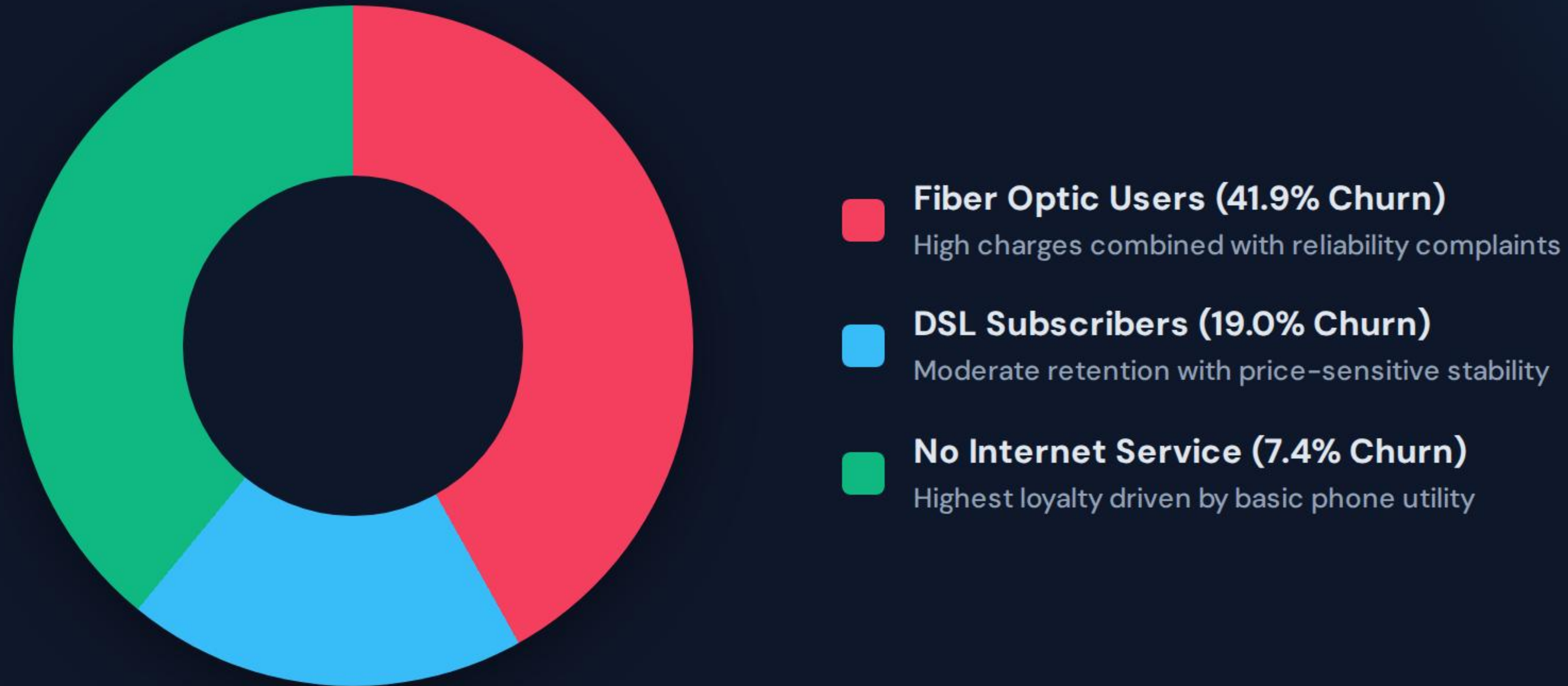
AVG RETAINED MONTHLY FEE

| Churn Risk by Contract Type



Primary Driver: Month-to-month subscribers churn at over 15x the rate of two-year contracted customers. Over 88% of all churn events originate from uncommitted monthly agreements.

Churn Across Service Lines



Fiber optic represents the flagship tier yet experiences high customer attrition due to higher price points (\$80+) and heightened user expectations.

| Primary Drivers of Defection

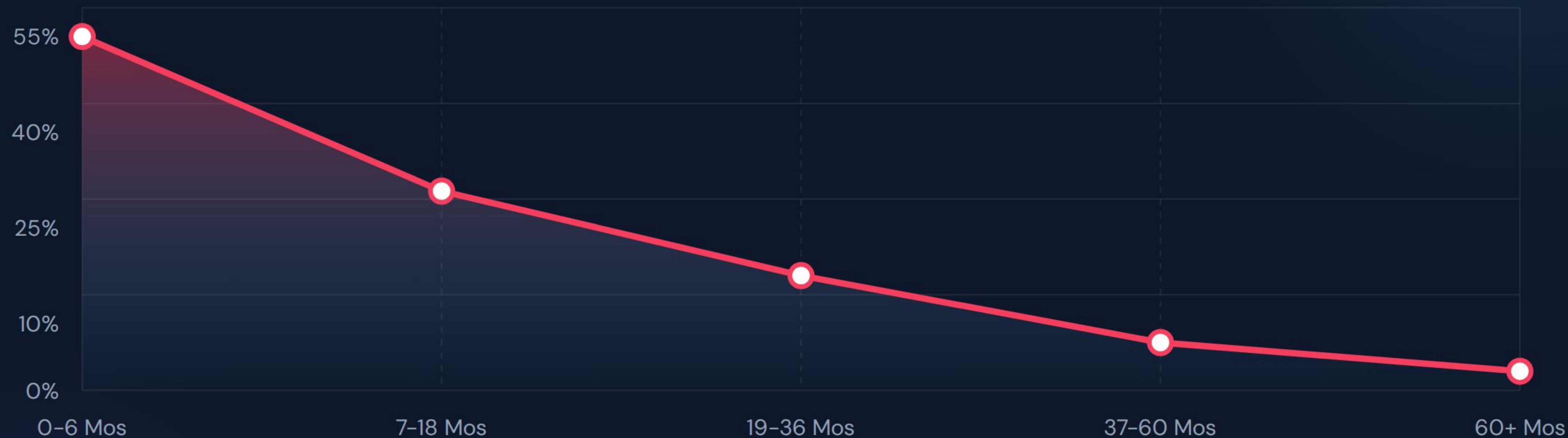
Billing & Payment Friction

- **Electronic Check Volatility:** Customers paying via electronic check experience a 45.3% churn rate compared to 15.2% for automated credit cards.
- **Paperless Billing Disconnect:** Paperless accounts churn at 33.6% vs 16.3% for mailed invoice recipients, reflecting price transparency issues.
- **Charge Shocks:** First unexpected overages correlate directly with 60-day cancellation spikes.

Support & Security Absence

- **No Tech Support:** Users without dedicated tech assistance churn at 41.6% versus just 15.2% among protected users.
- **Security Deficit:** Lacking Online Security creates a 41.8% attrition rate; users feel unguided during technical disruptions.
- **Add-on Stickiness:** Accounts with 3+ integrated services maintain churn levels under 10%.

Tenure Vulnerability Curve



Critical Window: Churn hazard peaks during the initial 180 days (53% attrition in month 1-6 cohorts), before stabilizing into an ultra-sticky 5% long-term loyalty threshold.

| Support & Security Impact

Proactive Customer Success

Data indicates customers lacking tech support and security add-ons exhibit churn rates exceeding 41%. Providing bundled onboarding protection and responsive dedicated service mitigates friction, building long-term loyalty and raising average customer lifetime value across high-risk accounts.

Tiered Retention Comparison

COHORT SEGMENT	CHURN %	AVG MRR	PRIMARY RISK FACTOR	RECOMMENDED INTERVENTION
Fiber Optic + Monthly	54.6%	\$87.50	Price-to-reliability mismatch	Service SLA guarantee & 12-mo bundle lock
Electronic Check Payers	45.3%	\$79.00	Manual monthly friction & billing shocks	\$5 auto-pay discount migration campaign
Single Product (No Add-on)	41.7%	\$65.20	Low structural switching costs	Complimentary 6-mo security trial pack
Senior Citizens	41.6%	\$79.80	Complex self-service interfaces	Priority phone routing & paper billing waivers
Partnered / Dependents	19.6%	\$63.40	Shared multi-user reliance	Family plan expansion & streaming bundles

| Strategic Retention Pillars



Contract Migration

Convert month-to-month users into 1-year commitments via first-year rate freezes and complimentary device protection tiers.



Protection Bundling

Embed automated backups and cybersecurity software directly into base fiber optic pricing to instantly reduce standalone churn.



Auto-Pay Incentives

Eliminate manual electronic check churn through direct automated debit incentives (\$5 monthly bill credits for credit card autopay).



Day-90 Concierge

Deploy specialized onboarding check-ins at days 15, 45, and 90 to preempt technical dissatisfaction during peak attrition zones.

| Execution Roadmap & Milestones

Q1: Diagnostic & Fix

Roll out autopay discount incentives and redesign electronic check checkout flows.

Q3: Contract Push

Launch targeted loyalty discounts to transition monthly cohorts into annual plans.

Q2: Bundle Redesign

Standardize free online security and tech support for all fiber optic accounts.

Q4: Review & Scale

Evaluate churn drop against target (<18%) and scale predictive ML retention alerts.

I Guiding Strategic Principle

II Acquiring a new customer is up to seven times more expensive than retaining an existing one. Retention is our fastest path to margin expansion. II

— Corporate Strategy & Customer Success Mandate

Action Plan & Next Steps

Targeting an immediate 8.5 percentage point churn reduction to protect over \$1.8M in annual recurring revenue across core service lines.



Business Intelligence Unit



analytics@retention-strategy.com

| Image Sources



<https://multipurposethemes.com/wp-content/uploads/2024/11/CRM-Dashboard-Template.jpg>

Source: multipurposethemes.com